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Supply, Demand, and Government Policies





Controls on Prices

- Price controls
 - Usually enacted when policymakers believe that the market price of a good or service is unfair to buyers or sellers
 - Can generate inequities



Controls on Prices

- Price ceiling
 - A legal maximum on the price at which a good can be sold
- Price floor
 - A legal minimum on the price at which a good can be sold

Taxi price cap

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THIS STORY IS FROM MARCH 11, 2020

Maharashtra caps Ola, Uber surge pricing at three times taxi fare, but defers rule till April 6

Somit Sen & Bhavika Jain / TNN / Updated: Mar 11, 2020, 06:26 IST






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Stent

Health News / Latest Health News / Medical Devices

Coronary stents prices slashed by 85%, govt tells Delhi High Court

The price of drug eluting stents and bio-resorbable scaffold or biodegradable stents, which used to range between Rs 40,000 and Rs 1.98 lakh, is now capped at Rs 29,600 and the bare metal stents.

PTI • March 03, 2017, 08:19 IST



NEW DELHI: The **prices** of life-saving **coronary stents**, used in angioplasty to ensure blood supply to and from the heart, have been slashed by 85 per cent from their existing prices and capped, government said on Thursday.

The price of **drug** eluting stents and bio-resorbable scaffold or biodegradable

as
use.

RT-PCR

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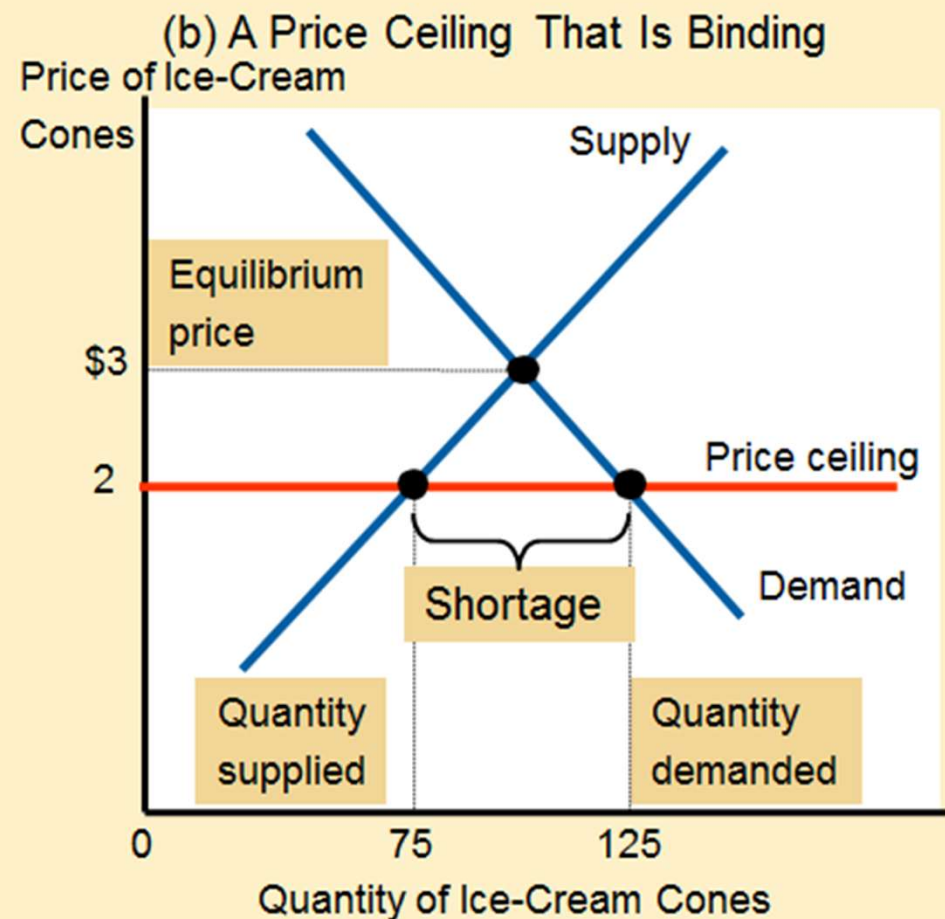
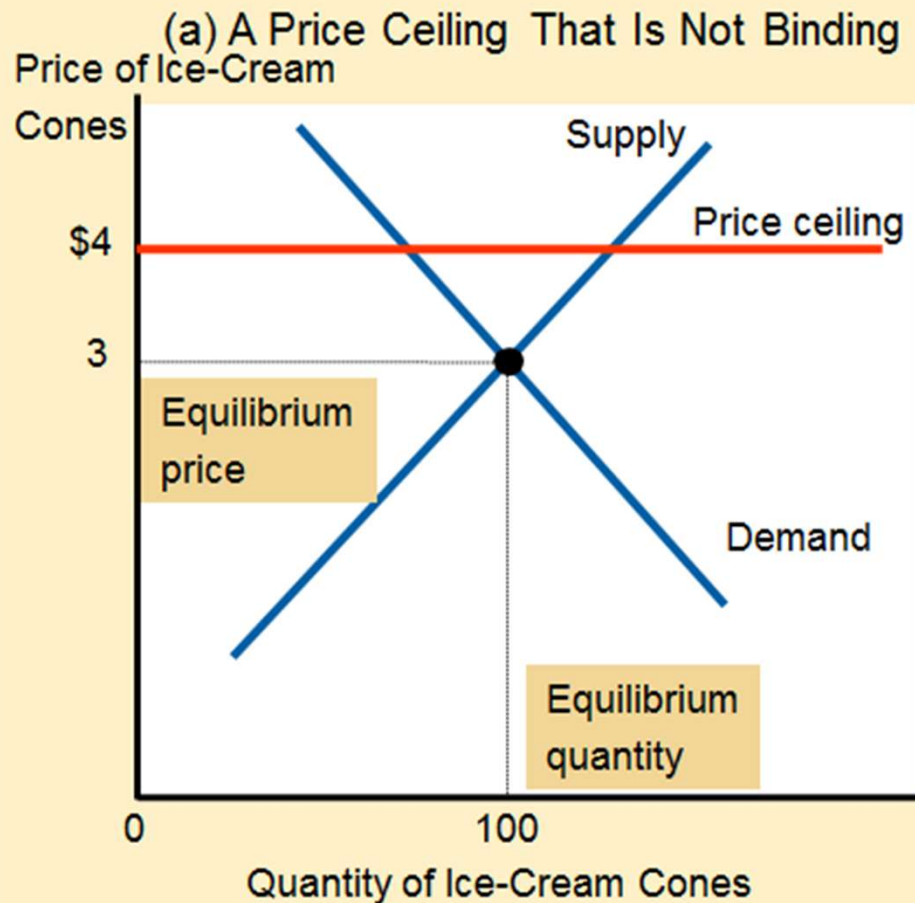
Delhi govt caps RT-PCR price at private hospitals, labs at Rs 300

PTI • Last Updated: Jan 20, 2022, 08:42 PM IST

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Figure 1

A Market with a Price Ceiling



In panel (a), the government imposes a price ceiling of \$4. Because the price ceiling is above the equilibrium price of \$3, the price ceiling has no effect, and the market can reach the equilibrium of supply and demand. In this equilibrium, quantity supplied and quantity demanded both equal 100 cones. In panel (b), the government imposes a price ceiling of \$2. Because the price ceiling is below the equilibrium price of \$3, the market price equals \$2. At this price, 125 cones are demanded and only 75 are supplied, so there is a shortage of 50 cones.



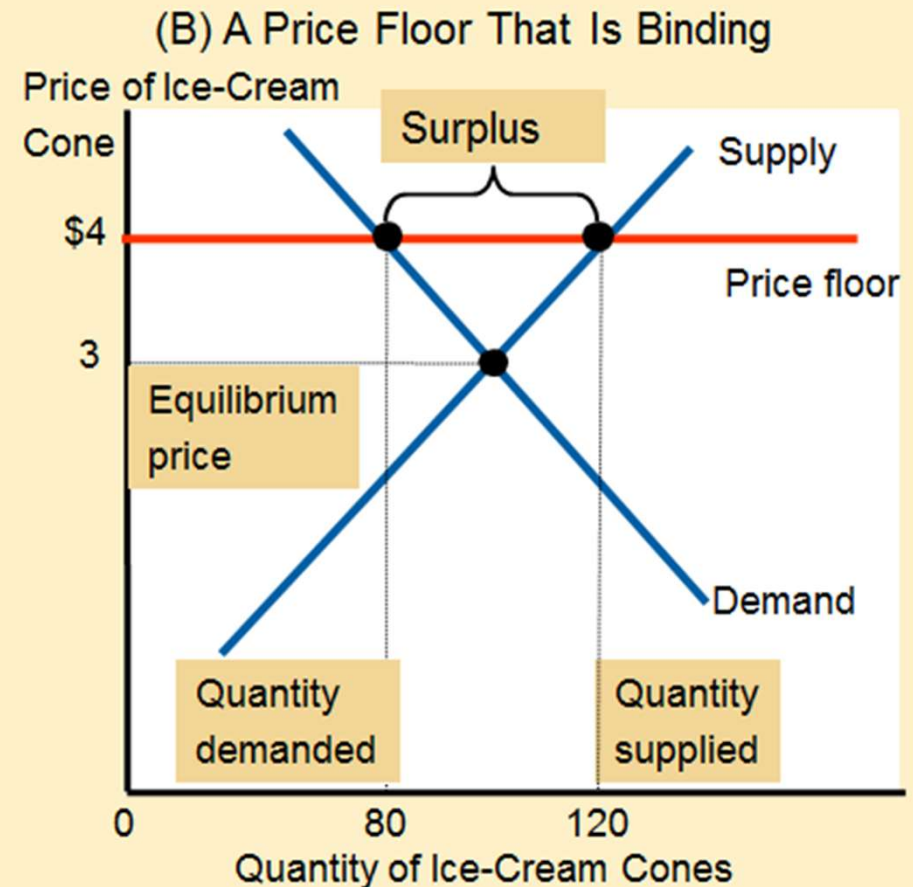
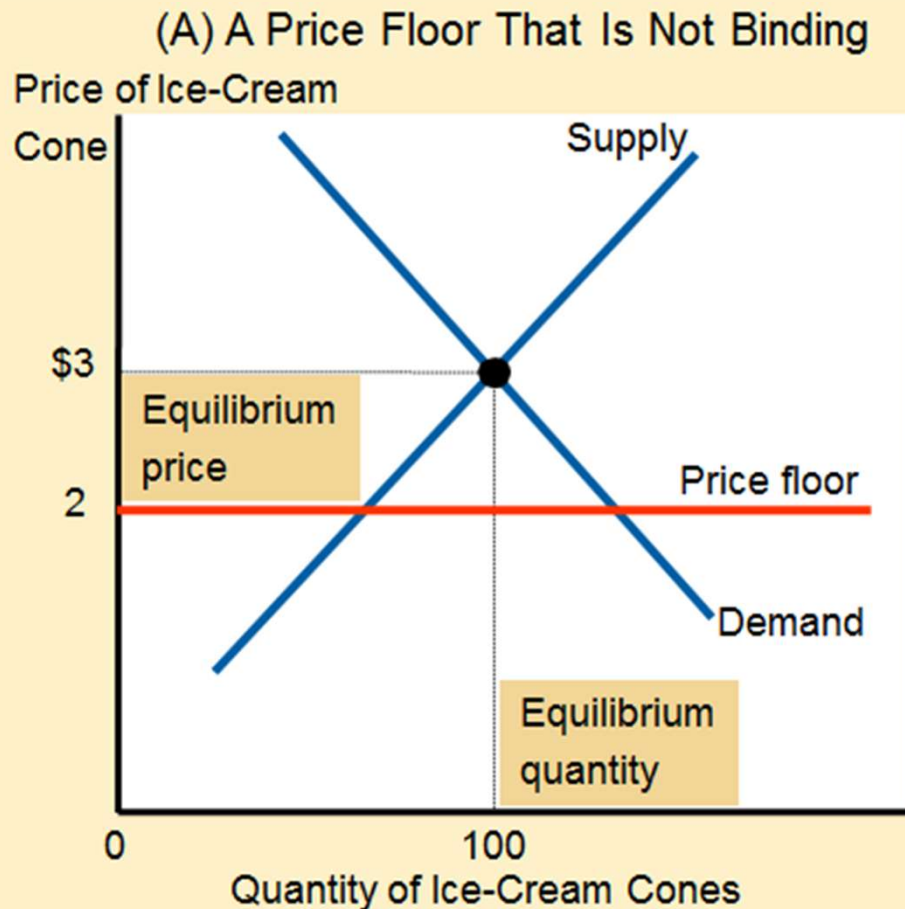
Controls on Prices, Part 3

How price ceilings affect market outcomes

- Not binding
 - Set above the equilibrium price
 - No effect on the price or quantity sold
- Binding constraint
 - Set below the equilibrium price
 - Shortage
 - Sellers must ration the scarce goods
 - Long lines
 - Discrimination according to sellers bias

Figure 4

A Market with a Price Floor



In panel (a), the government imposes a price floor of \$2. Because this is below the equilibrium price of \$3, the price floor has no effect. The market price adjusts to balance supply and demand. At the equilibrium, quantity supplied and quantity demanded both equal 100 cones. In panel (b), the government imposes a price floor of \$4, which is above the equilibrium price of \$3. Therefore, the market price equals \$4. Because 120 cones are supplied at this price and only 80 are demanded, there is a surplus of 40 cones.



Controls on Prices

How price floors affect market outcomes

- Not binding
 - Set below the equilibrium price
 - No effect on the market
- Binding constraint
 - Set above the equilibrium price
 - Surplus
 - Some sellers are unable to sell what they want
 - The rationing mechanisms: not desirable

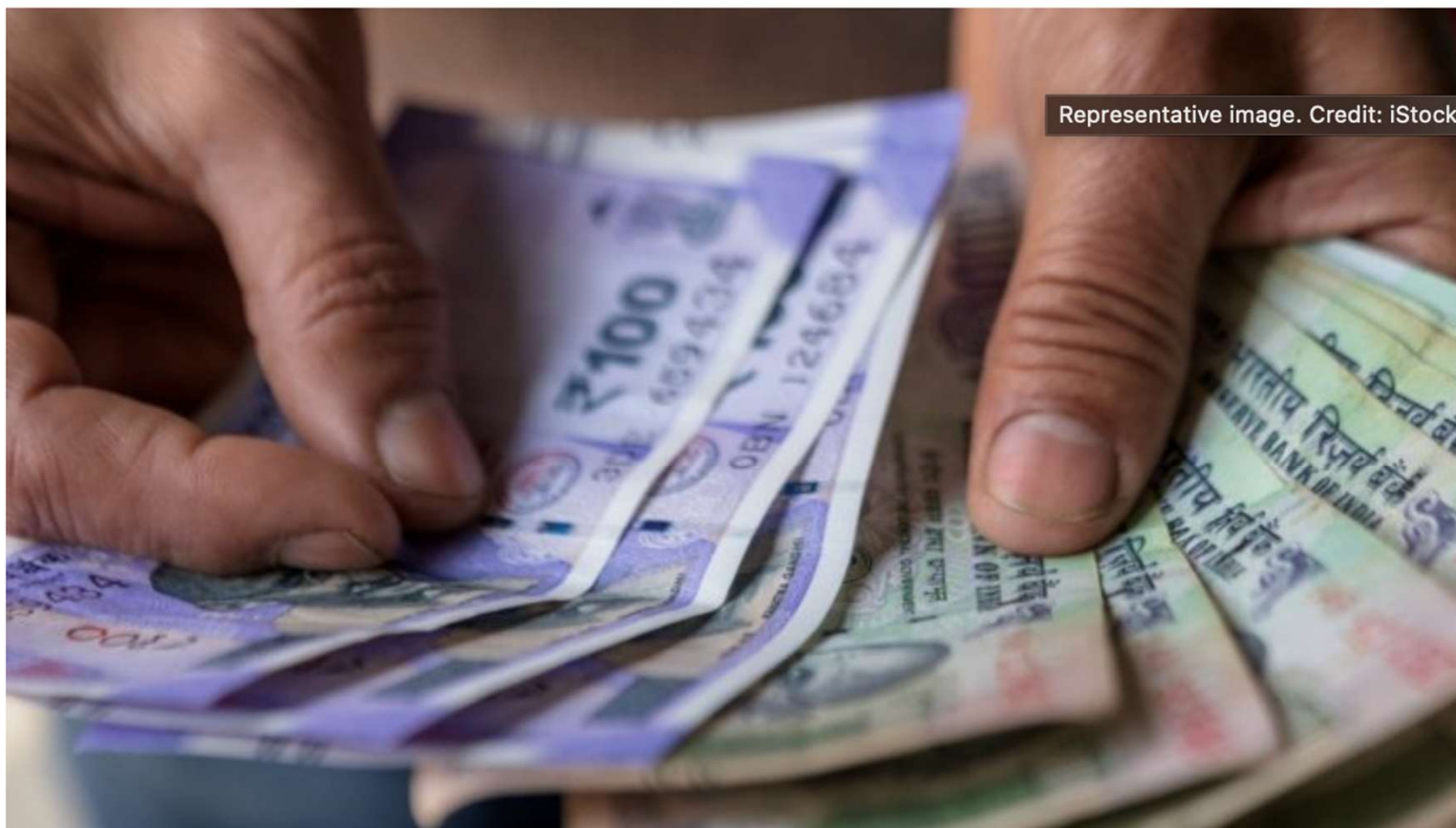
The minimum wage

Karnataka govt notifies new minimum wages

The new wages have come into effect from July 28 when they were notified



DHNS, AUG 04 2022, 22:30 IST | UPDATED: AUG 05 2022, 04:40 IST



Representative image. Credit: iStock Photo

The minimum wage

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Porter

Minimum Wages Are Going Up. Jobs May Disappear.

Past studies have found that higher pay doesn't hurt employment over the short term. New research shows that the effects over time could be more harmful.

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Minimum Support Price

 **The Indian EXPRESS**

Monday, August 22, 2022

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Govt hikes paddy MSP by Rs 100 a quintal, sharpest rise in soybean

The MSP of paddy (common) has been increased by 5.15 per cent from Rs 1,940 per quintal in 2021-22 to Rs 2,040 quintal for 2022-23.

Written by [Harikishan Sharma](#), with input from Pti
New Delhi | Updated: June 9, 2022 7:32:48 am

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MAP VIEW

Irrigated-Unirrigated Area

Agricultural Land

Minimum Support Prices

Statement Showing Minimum Support Prices - Fixed by Government (Rs.quintal)

Commodity	Variety	2010-11	2011-12	2012-13	2013-14	2014-15	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	(#) increase in MSP 2022-23 over 2021-22
KHARIF CROPS															
PADDY	Common	1000	1080	1250	1310	1360	1410	1470	1550	1750	1815	1868	1940	2040	100(5.2)
	Grade 'A'	1030	1110	1280	1345	1400	1450	1510	1590	1770	1835	1888	1960	2060	100(5.1)
JOWAR	Hybrid	880	980	1500	1500	1530	1570	1625	1700	2430	2550	2620	2738	2970	232(8.5)
	Maldandi	900	1000	1520	1520	1550	1590	1650	1725	2450	2570	2640	2758	2990	232(8.4)
BAJRA		880	980	1175	1250	1250	1275	1330	1425	1950	2000	2150	2250	2350	100(4.4)
MAIZE		880	980	1175	1310	1310	1325	1365	1425	1700	1760	1850	1870	1962	92(4.9)
RAGI		965	1050	1500	1500	1550	1650	1725	1900	2897	3150	3295	3377	3578	201(6.0)
Tur (Arhar)		3000	3200	3850	4300	4350	4625^	5050^^	5450^	5675	5800	6000	6300	6600	300(4.8)
MOONG		3170	3500	4400	4500	4600	4850^	5225^^	5575^	6975	7050	7196	7275	7755	480(6.6)
URAD		2900	3300	4300	4300	4350	4625^	5000^^	5400^	5600	5700	6000	6300	6600	300(4.8)
	Medium Staple	2500	2800	3600	3700	3750	3800	3860	4020	5150	5255	5515	5726	6080	354(6.2)
COTTON															

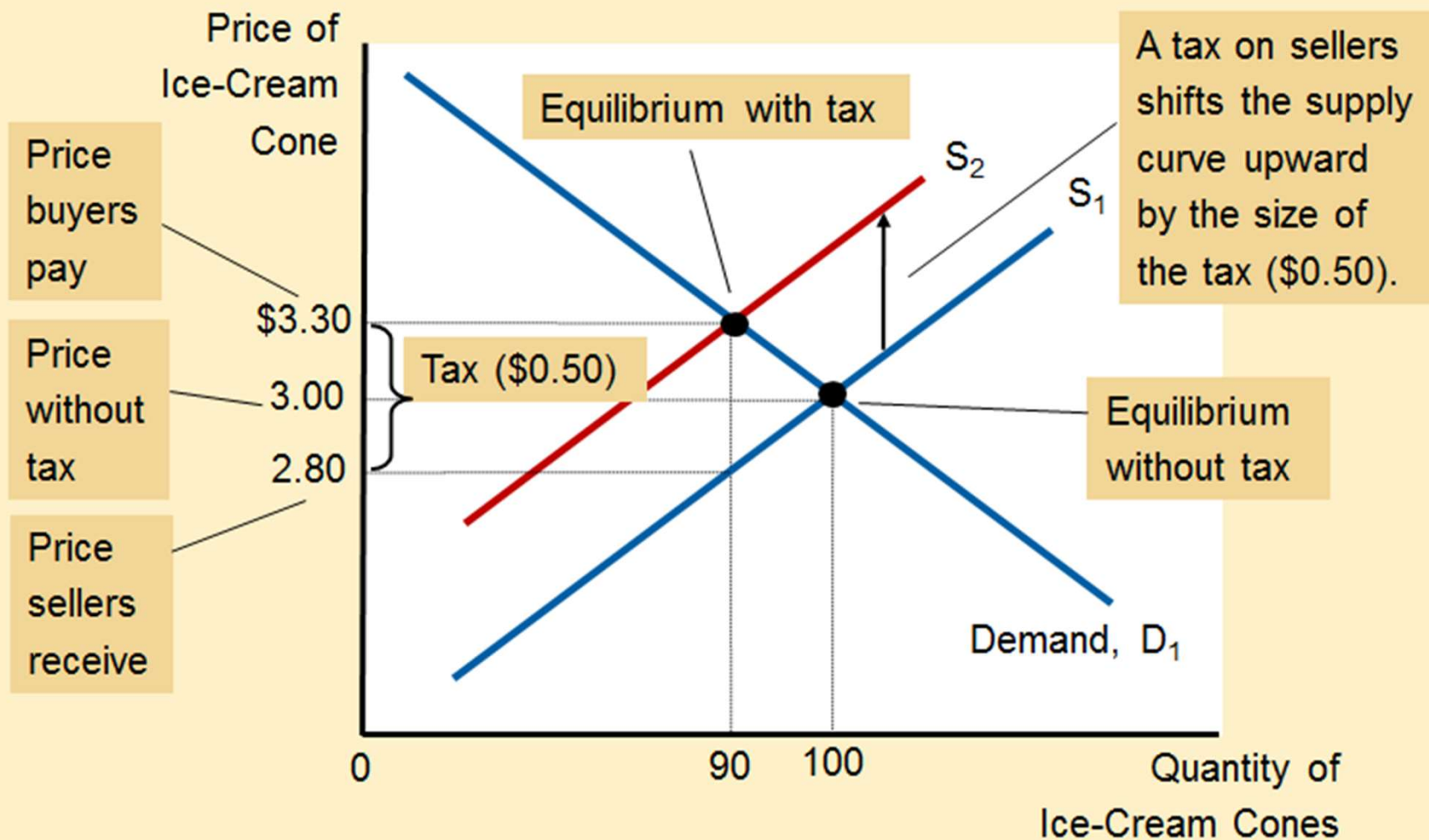


Taxes

- Taxes
 - Used to raise revenue for public purposes and to influence market outcomes
- Government use taxes
 - To raise revenue for public projects
 - Roads, schools, and national defense
- Tax on buyers and sellers
- Tax incidence
 - Manner in which the burden of a tax is shared among participants in a market

Figure 6

A Tax on Sellers



When a tax of \$0.50 is levied on sellers, the supply curve shifts up by \$0.50 from S_1 to S_2 . The equilibrium quantity falls from 100 to 90 cones. The price that buyers pay rises from \$3.00 to \$3.30. The price that sellers receive (after paying the tax) falls from \$3.00 to \$2.80. Even though the tax is levied on sellers, buyers and sellers share the burden of the tax.



Taxes

How taxes on sellers affect market outcomes

- Immediate impact on sellers: shift in supply
- Supply curve shifts left
- Higher equilibrium price
- Lower equilibrium quantity
- The tax reduces the size of the market



Taxes

How taxes on sellers affect market outcomes

- Taxes discourage market activity
- Buyers and sellers share the burden of tax
- Buyers pay more, are worse off
- Sellers receive less, are worse off
 - Get the higher price but pay the tax
 - Overall: effective price fall



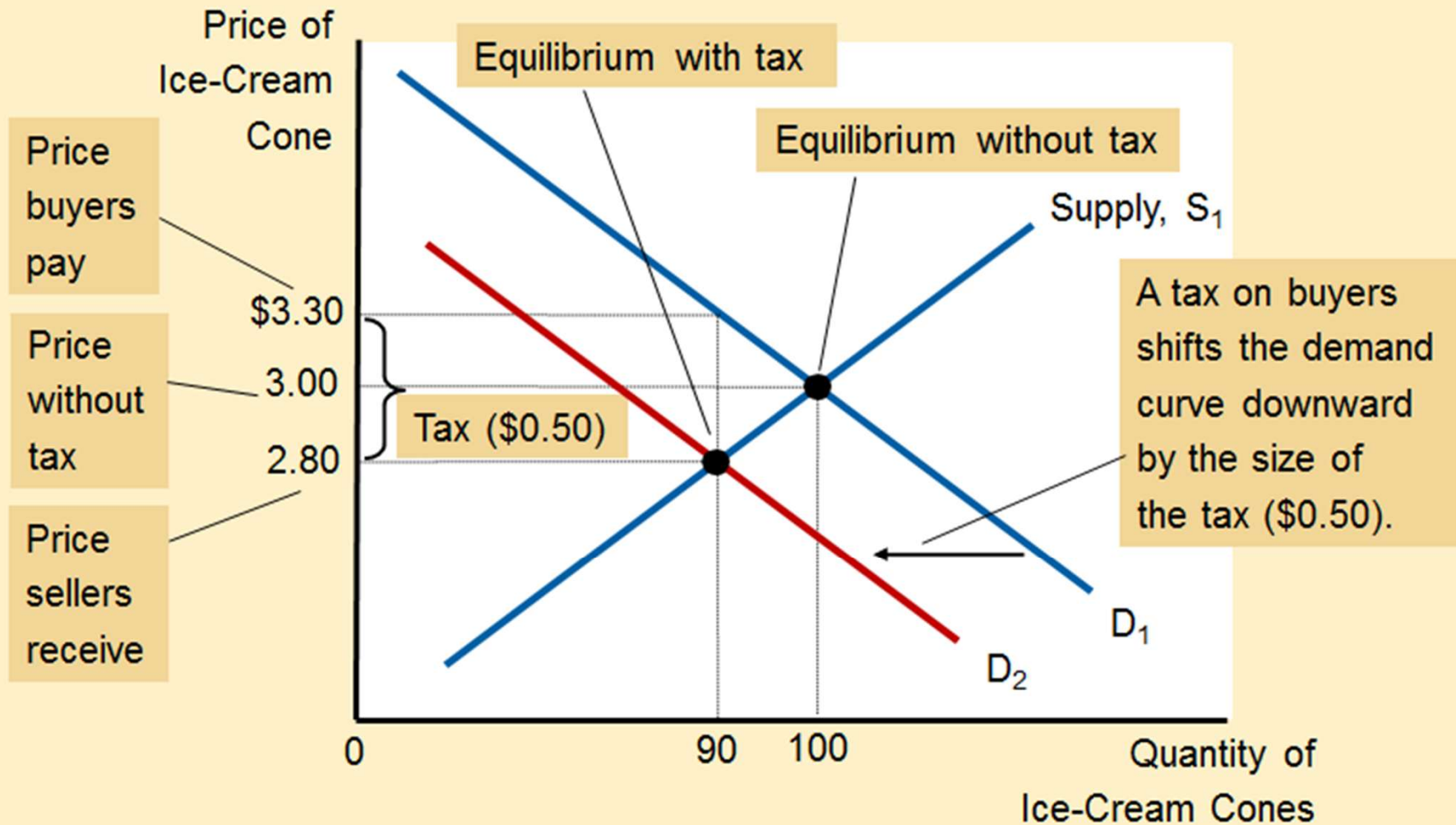
Taxes

How taxes on buyers affect market outcomes

- Initial impact on the demand
- Demand curve shifts left
- Lower equilibrium price
- Lower equilibrium quantity
- The tax reduces the size of the market

Figure 7

A Tax on Buyers



When a tax of \$0.50 is levied on buyers, the demand curve shifts down by \$0.50 from D_1 to D_2 . The equilibrium quantity falls from 100 to 90 cones. The price that sellers receive falls from \$3.00 to \$2.80. The price that buyers pay (including the tax) rises from \$3.00 to \$3.30. Even though the tax is levied on buyers, buyers and sellers share the burden of the tax.



Taxes

How taxes on buyers affect market outcomes

- Buyers and sellers share the burden of tax
- Sellers get a lower price, are worse off
- Buyers pay a lower market price, are worse off
 - Effective price (with tax) rises



Taxes

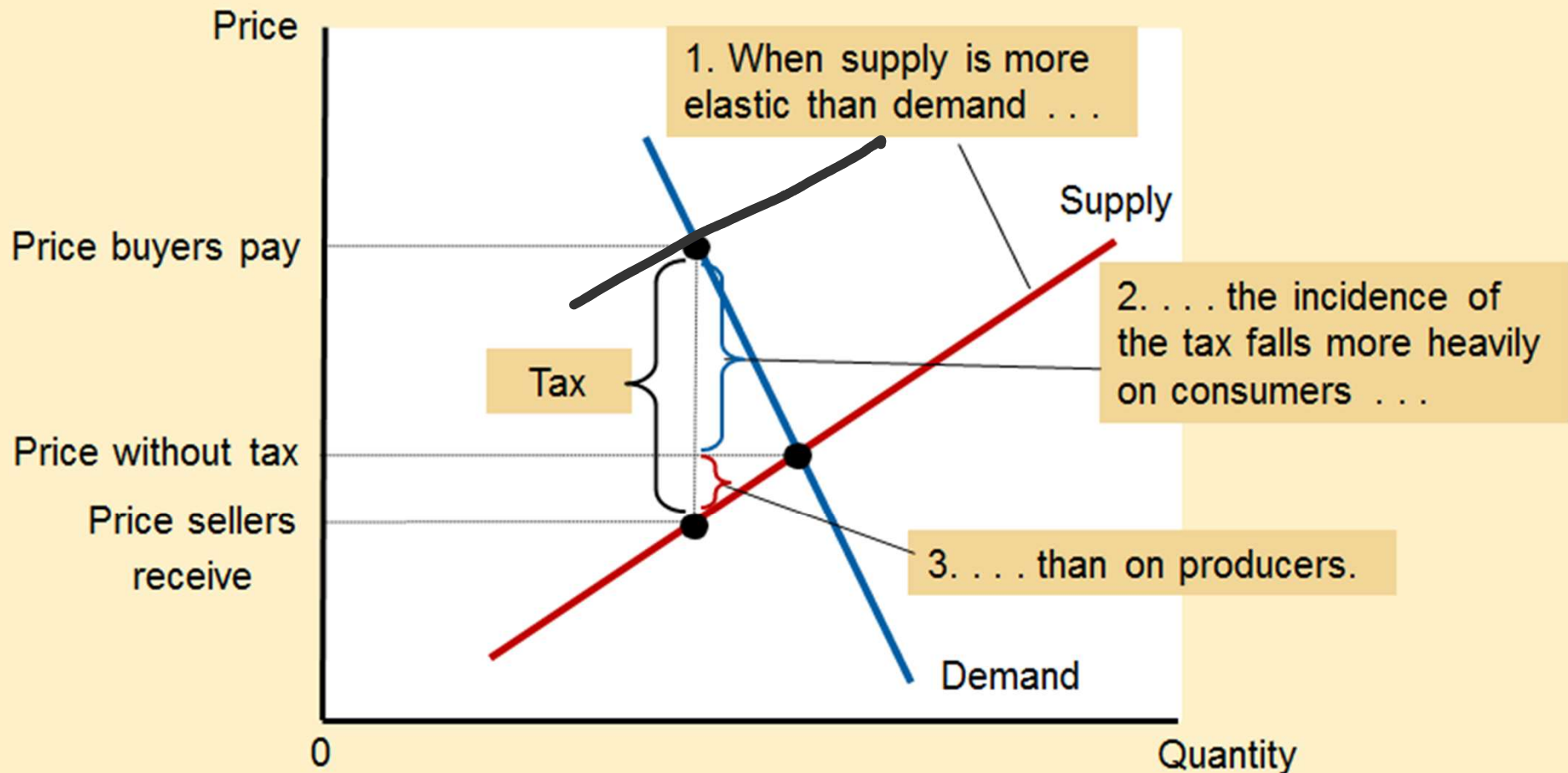
Taxes levied on sellers and taxes levied on buyers are equivalent

- Wedge between the price that buyers pay and the price that sellers receive
 - The same, regardless of whether the tax is levied on buyers or sellers
- Shifts the relative position of the supply and demand curves
 - Buyers and sellers share the tax burden

Figure 9a

How the Burden of a Tax Is Divided (a)

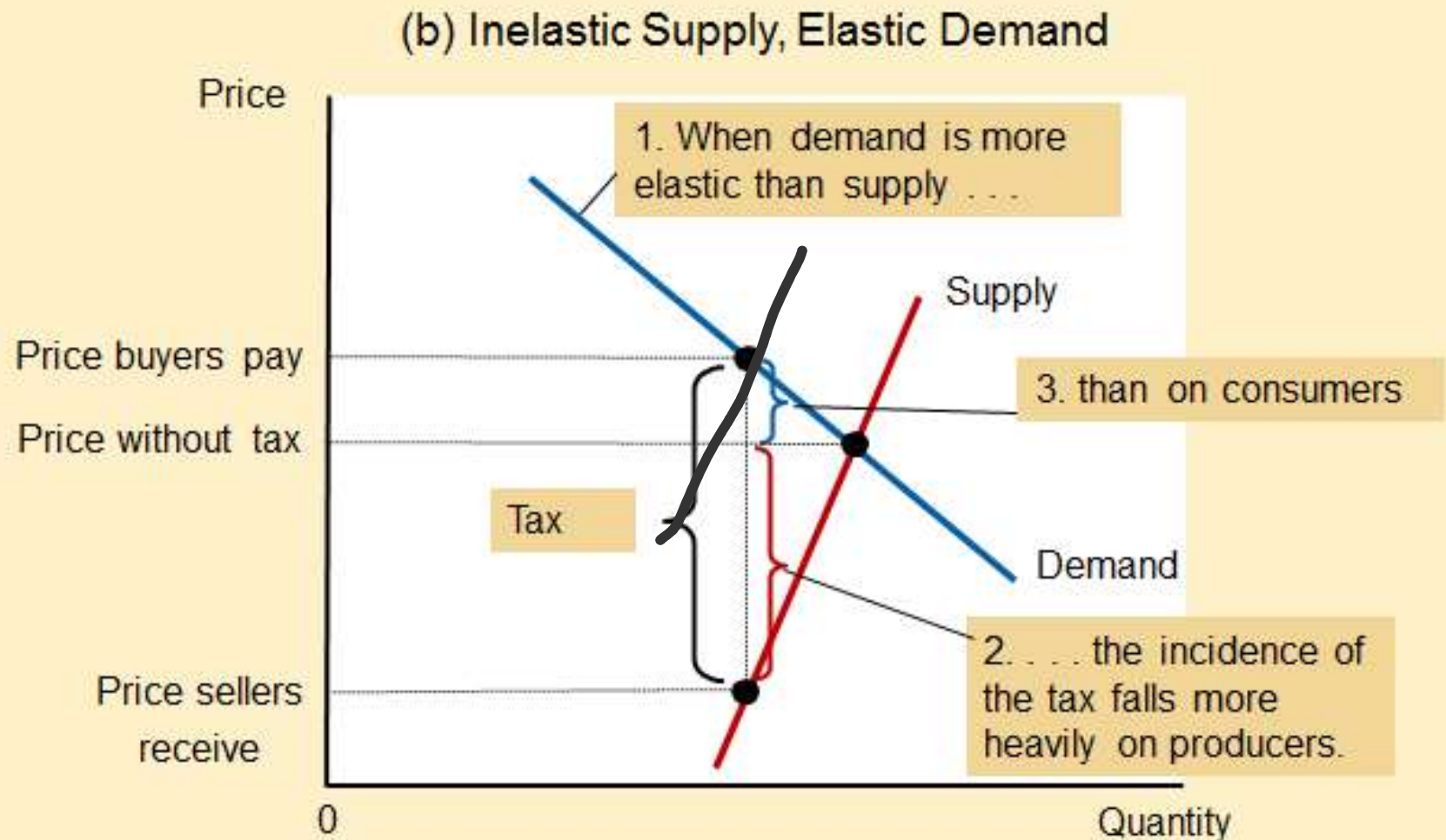
(a) Elastic Supply, Inelastic Demand



In panel (a), the supply curve is elastic, and the demand curve is inelastic. In this case, the price received by sellers falls only slightly, while the price paid by buyers rises substantially. Thus, buyers bear most of the burden of the tax.

Figure 9b

How the Burden of a Tax Is Divided (b)



In panel (b), the supply curve is inelastic, and the demand curve is elastic. In this case, the price received by sellers falls substantially, while the price paid by buyers rises only slightly. Thus, sellers bear most of the burden of the tax.



Taxes

- Elasticity and tax incidence
 - Very elastic supply and relatively inelastic demand
 - Sellers bear a small burden of tax
 - Buyers bear most of the burden
 - Relatively inelastic supply and very elastic demand
 - Sellers bear most of the tax burden
 - Buyers bear a small burden



Taxes

- Tax burden
 - Falls more heavily on the side of the market that is less elastic
 - Small elasticity of demand
 - Buyers do not have good alternatives to consuming this good
 - Small elasticity of supply
 - Sellers do not have good alternatives to producing this good